

Date: 04.30.2026

RE: Clarification of Transferred Section 45Q Credits Under Sections 469, 38(c)(4)(B), and 6418

To whom it may concern,

We request that Treasury issue clarifying guidance on the treatment of Section 45Q credits transferred under Section 6418 of the Code (Inflation Reduction Act of 2022). Three unresolved issues are creating marketplace uncertainty, slowing capital deployment into carbon capture, and imposing unnecessary compliance burdens on transferee taxpayers and their CPAs:

- (1) Whether transferred 45Q credits are passive under Section 469—they should not be, because the transferee purchased the credit rather than participating in the generating activity.
- (2) Whether 45Q qualifies as a “**specified credit**” under Section 38(c)(4)(B)—it should, so transferees can apply credits against their full tax liability.
- (3) As a specified credit, 45Q is exempt from AMT/TMT limitations under Section 38(c)(1), consistent with Congress’s intent that transferred credits be fully realizable.

Without this clarification, the transferability mechanism Congress created in Section 6418 is substantially undermined. A brief Notice or Revenue Procedure containing something to the effect of the attached draft language would resolve all three issues.

Respectfully submitted

SECTION I. PURPOSE

This notice provides clarification regarding the federal income tax treatment of credits described in Section 45Q of the Internal Revenue Code (the “Code”) when such credits are transferred to an unrelated transferee taxpayer pursuant to Section 6418 of the Code. This guidance addresses the application of Section 469 (passive activity limitations), Section 38(c)(4)(B) (specified credits), and the alternative minimum tax provisions to such transferred credits.

SECTION II. BACKGROUND

Section 6418, as added by Section 13801 of the Inflation Reduction Act of 2022 (P.L. 117-169), allows eligible taxpayers to transfer all or a portion of certain tax credits, including the Section 45Q credit for carbon oxide sequestration, to unrelated transferee taxpayers in exchange for cash consideration. The transfer mechanism was designed to create liquidity and broaden the base of taxpayers that can benefit from clean energy incentives.

Questions have arisen regarding whether transferred Section 45Q credits retain passive activity character and whether they qualify as “specified credits” under Section 38(c)(4)(B), which determines their ability to offset both regular tax and alternative minimum tax liability.

SECTION III. TAX CODE CLARIFICATIONS

(a) NON-PASSIVE TREATMENT UNDER SECTION 469. For purposes of Section 469 of the Code, credits described in Section 45Q that are transferred to a transferee taxpayer under Section 6418 shall not be treated as credits arising from a passive activity with respect to the transferee. The transferee’s acquisition of such credits through a Section 6418 transfer is not participation in the trade or business activity that generated the credits, and accordingly the passive activity limitations of Section 469 do not apply to limit the transferee’s use of such credits against non-passive tax liability.

(b) TREATMENT AS SPECIFIED CREDIT. Section 38(c)(4)(B) of the Code is hereby clarified to include credits determined under Section 45Q as specified credits within the meaning of Section 38(c)(4)(B). For this purpose, the Section 45Q credit shall be treated as a specified credit regardless of whether it is claimed by the original taxpayer or transferred to a transferee under Section 6418.

(c) EFFECT ON ALTERNATIVE MINIMUM TAX / TENTATIVE MINIMUM TAX. As a specified credit under Section 38(c)(4)(B), the Section 45Q credit (including when transferred under Section 6418) shall not be subject to the limitation under Section 38(c)(1) and shall be allowed to the full extent of the taxpayer’s net income tax liability, without reduction for the tentative minimum tax (TMT) or the alternative minimum tax (AMT). This treatment applies to both the eligible taxpayer that originally generates the credit and to any transferee that acquires the credit under Section 6418.

SECTION IV. EFFECTIVE DATE

This notice is effective for taxable years beginning after December 31, 2022, consistent with the effective date of Section 6418 as enacted by the Inflation Reduction Act of 2022.